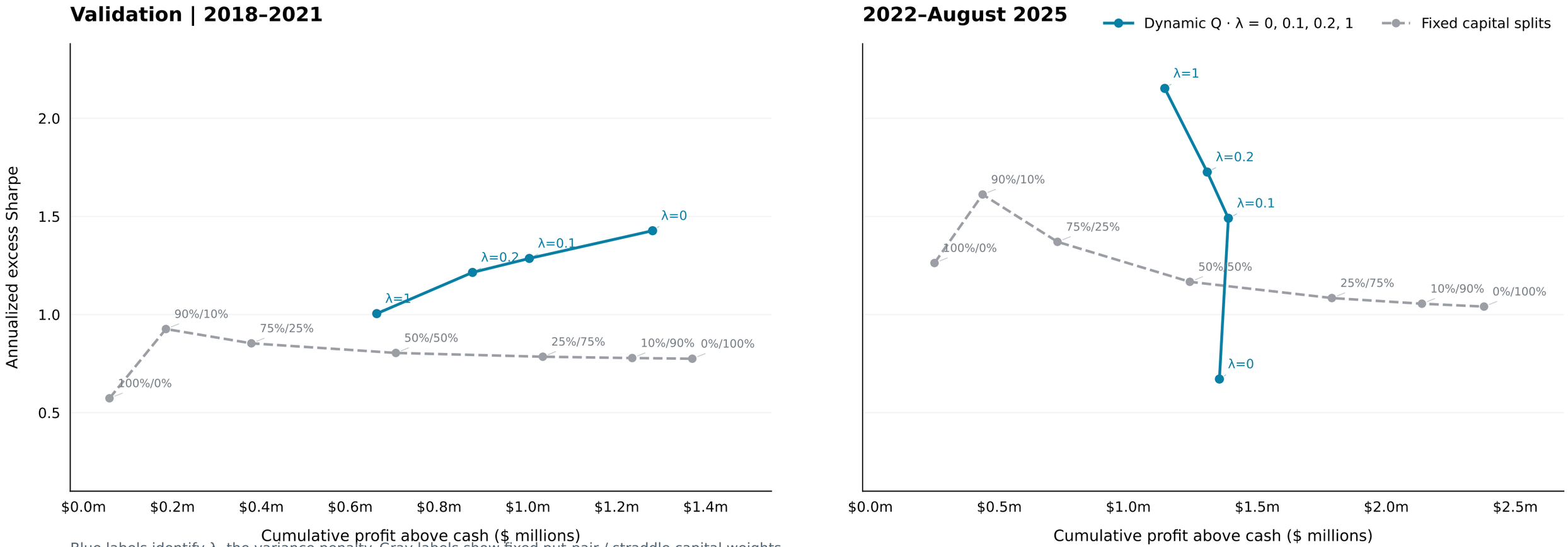
The profit–Sharpe tradeoff across four risk penalties

Original nine-input state · γ = 0.99 · seven allocation choices · unchanged strategy bandits and costs



Blue labels identify λ, the variance penalty. Gray labels show fixed put-pair / straddle capital weights.

Selected λ values span the tested range. Lines connect successive λ settings and fixed capital splits; they do not imply a fitted efficient frontier.